

and larger government like they accept runaway bar tabs—when they can afford them.

But there is no reason to think that the trend toward centralized authority is immutable. In fact, history may be a long tale full of sound and fury, like the ravings of a lunatic. But there are patterns to it. Sometimes, credit, confidence, and centralized political authority expand. Sometimes they contract.

Sometimes centripetal forces dominate, sometimes centrifugal.

GOING BUST

The past 300 years have been marked by further and further centralization: first, the consolidation of kingdoms, duchies, and principalities of western Europe in the eighteenth century. Then, the building of the nation-states in the nineteenth century. And, finally, the creation of the European Union in the twentieth century.

The United States of America was created at the end of the eighteenth century. Its centralization was assured by the War Between the States in the middle of the following century and, later, by the imposition of a federal income tax, the direct election of senators (which ended individual states' participation in the federal government) and voluminous legislation and numerous Supreme Court decisions further enlarging the power of the central government at the expense of "states' rights."

All over the world, gradually, the local dialects, local money, local customs, and local military power disappeared. By 2007, all the major—and quite a few minor—European nations used the same currency, traded in the same goods, paid the same interest rates, and spoke a common commercial and diplomatic language: English. So, too, did the entire world come to practice modern credit-enhanced capitalism as taught in the leading business schools worldwide.

Why these things happened, we don't know. Was it just because, with the availability of modern communications, it was possible for the first time? Was it because technology had enabled further elaboration of the division of